QUARTERLY INVESTOR REPORT

Highland Everett Manor | Las Vegas, NV

Investment	Highland Everett Manor
Quarter	3Q 2023
Report Date	February 13, 2019
Sponsor	Granite Lane Realty
Occupancy	90.3%

Investment Overview

Occupancy stands at 91.0% with an average resident length of stay of 9 years. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Dining, housekeeping, transportation and activities programming are included in the base fee. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community provides assisted living and memory care services under a state-issued license with 12 full-time caregivers per shift. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care.

Projected levered IRR is 6.6% with an equity multiple of 1.46x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community provides assisted living and memory care services under a state-issued license with 16 full-time caregivers per shift. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. The community provides assisted living and memory care services under a state-issued license with 39 full-time caregivers per shift. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Occupancy stands at 90.8% with an average resident length of stay of 8 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Service requests are tracked through a work-order system with an average completion time of 17 hours. The community provides assisted living and memory care services under a state-issued license with 11 full-time caregivers per shift. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 23 additional team members.

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 5.7% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care.

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 13.9% with an equity multiple of 1.43x over the hold period. Dining, housekeeping, transportation and activities programming are included in the base fee.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Occupancy stands at 95.8% with an average resident length of stay of 7 years. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 16 additional team members.

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Business Plan Progress

Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 40 full-time caregivers per shift. Projected levered IRR is 9.0% with an equity multiple of 1.13x over the hold period. Dining, housekeeping, transportation and activities programming are included in the base fee. Distributions to investors for the quarter were paid at an annualized rate of 4.7% on contributed capital. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community provides assisted living and memory care services under a state-issued license with 2 full-time caregivers per shift. Distributions to investors for the quarter were paid at an annualized rate of 4.2% on contributed capital. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 96.6% with an average resident length of stay of 10 years.

Property Operations

The community provides assisted living and memory care services under a state-issued license with 28 full-time caregivers per shift. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Dining, housekeeping, transportation and activities programming are included in the base fee. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Collections for the period were 93.0% of billed charges, with bad debt of 3.4% of gross potential income. Occupancy stands at 91.7% with an average resident length of stay of 4 years.

The community provides assisted living and memory care services under a state-issued license with 9 full-time caregivers per shift. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 93.6% of billed charges, with bad debt of 6.6% of gross potential income.

Investment Overview

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community provides assisted living and memory care services under a state-issued license with 32 full-time caregivers per shift. Projected levered IRR is 13.9% with an equity multiple of 1.12x over the hold period. Dining, housekeeping, transportation and activities programming are included in the base fee.

Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital. The community provides assisted living and memory care services under a state-issued license with 14 full-time caregivers per shift. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Projected levered IRR is 4.6% with an equity multiple of 1.27x over the hold period. Dining, housekeeping, transportation and activities programming are included in the base fee.

Property Operations

Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Collections for the period were 96.2% of billed charges, with bad debt of 5.1% of gross potential income. The community provides assisted living and memory care services under a state-issued license with 22 full-time caregivers per shift. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. Occupancy stands at 89.7% with an average resident length of stay of 4 years.

Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. Collections for the period were 88.6% of billed charges, with bad debt of 5.1% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 24 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community provides assisted living and memory care services under a state-issued license with 16 full-time caregivers per shift.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Security camera upgrade	Site	07/12/24	Q4 2027	$657,000	$256,794	In progress
Unit interior upgrades	Energy	10/31/25	Q4 2025	$647,000	$438,954	Approved
Signage / monument	Life Safety	02/13/26	Q3 2027	$85,000	$53,689	Complete
Sewer line repair	Interior	03/21/25	Q4 2026	$820,000	$337,714	Deferred
Elevator modernization	Interior	11/03/24	Q3 2025	$499,000	$288,840	Deferred
Storefront glazing	Life Safety	03/29/25	Q4 2026	$752,000	$500,727	In progress
Signage / monument	Energy	12/31/25	Q1 2027	$363,000	$169,096	Approved
Storefront glazing	Site	12/10/23	Q1 2026	$432,000	$396,726	Complete
Storefront glazing	Interior	08/29/23	Q2 2027	$172,000	$19,716	Complete
Fire alarm panel upgrade	Site	07/18/26	Q1 2025	$69,000	$10,581	Approved
Water heater replacement	Site	12/28/24	Q4 2027	$421,000	$359,682	Deferred
Storefront glazing	Site	04/11/24	Q1 2025	$25,000	$16,634	Bidding
Unit interior upgrades	Life Safety	03/14/26	Q1 2026	$800,000	$676,820	In progress
Unit interior upgrades	Life Safety	06/19/26	Q4 2025	$597,000	$626,593	Complete
HVAC replacement	Life Safety	04/18/26	Q1 2025	$835,000	$579,498	Deferred
LED lighting retrofit	Life Safety	05/10/25	Q4 2027	$208,000	$5,068	Approved
Door hardware	Interior	05/04/26	Q2 2025	$128,000	$90,634	Complete
Door hardware	Energy	08/31/25	Q1 2027	$255,000	$265,402	Approved
Unit interior upgrades	Site	03/24/24	Q4 2027	$566,000	$263,332	Deferred
Security camera upgrade	Site	08/24/25	Q1 2025	$62,000	$44,884	Approved
Lobby renovation	Interior	08/12/23	Q3 2025	$874,000	$351,717	Approved
Amenity renovation	Life Safety	08/24/23	Q3 2027	$890,000	$538,502	Complete
Landscape / irrigation	Interior	11/25/23	Q3 2025	$527,000	$430,458	Approved
ADA compliance	Life Safety	07/26/23	Q2 2026	$900,000	$451,915	Deferred
Signage / monument	Building	08/11/23	Q3 2026	$216,000	$165,187	Deferred
Storefront glazing	Building	11/18/25	Q1 2027	$601,000	$95,852	Approved
Amenity renovation	Energy	11/24/23	Q2 2026	$194,000	$114,241	Bidding
Water heater replacement	Building	07/07/25	Q1 2026	$554,000	$399,163	Deferred
Storefront glazing	Energy	02/01/26	Q2 2026	$607,000	$284,096	Deferred
Door hardware	Building	04/19/24	Q2 2027	$579,000	$278,365	Approved
ADA compliance	Interior	07/24/25	Q3 2026	$654,000	$45,795	Approved
Storefront glazing	Energy	04/09/25	Q2 2026	$724,000	$326,756	Bidding
Door hardware	Life Safety	06/24/26	Q3 2027	$487,000	$38,147	In progress
Lobby renovation	Life Safety	04/07/25	Q3 2027	$630,000	$280,714	Complete
Pool resurfacing	Building	03/03/26	Q2 2025	$148,000	$119,139	In progress
Lobby renovation	Building	04/16/26	Q2 2026	$698,000	$160,756	Complete
Elevator modernization	Energy	01/24/26	Q2 2027	$720,000	$73,704	Deferred
Sewer line repair	Life Safety	10/15/26	Q4 2026	$218,000	$147,719	Deferred
Lobby renovation	Building	08/05/25	Q3 2026	$112,000	$63,268	In progress
Pool resurfacing	Site	03/30/24	Q4 2027	$616,000	$377,355	Bidding

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Financial Analysis

Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.53x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.44% reflects the in-place income and the stabilized occupancy assumption. The community provides assisted living and memory care services under a state-issued license with 48 full-time caregivers per shift. Operating expenses totaled $16,000 or approximately 14.82 per square foot, with real estate taxes representing the largest line item.

Debt service coverage ratio was 5.82x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $148,000 or approximately 32.97 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses. The community provides assisted living and memory care services under a state-issued license with 48 full-time caregivers per shift.

Supply and Demand

Dining, housekeeping, transportation and activities programming are included in the base fee. Rent growth in the submarket has averaged 3.3% annually over the past 5 years. The Las Vegas Senior Housing market has experienced absorption of 400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Senior Housing product stands at 3.1%, down from 6.6% two years ago. Investor demand for Senior Housing assets in Las Vegas remains strong with recent trades at capitalization rates between 5.48% and 5.48%.

Investor demand for Senior Housing assets in Las Vegas remains strong with recent trades at capitalization rates between 5.28% and 5.28%. The community provides assisted living and memory care services under a state-issued license with 22 full-time caregivers per shift. Median household income within a 3-mile radius of the property is approximately $56,000 and has grown 10.7% annually. Highland Everett Manor is located in Las Vegas, NV, a market that has recorded 10.2% population growth over the last five years.

Income and Expense Review

The going-in capitalization rate of 6.74% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $76,000, representing a 6.1% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Debt service coverage ratio was 6.95x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $87,000, representing a 10.9% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Submarket Analysis

Investor demand for Senior Housing assets in Las Vegas remains strong with recent trades at capitalization rates between 7.00% and 7.00%. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Senior Housing product stands at 2.7%, down from 3.9% two years ago. Occupancy stands at 91.6% with an average resident length of stay of 8 years. Highland Everett Manor is located in Las Vegas, NV, a market that has recorded 12.1% population growth over the last five years. The Las Vegas Senior Housing market has experienced absorption of 4800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Median household income within a 3-mile radius of the property is approximately $268,000 and has grown 6.7% annually. Market vacancy for comparable Senior Housing product stands at 11.9%, down from 6.5% two years ago. Investor demand for Senior Housing assets in Las Vegas remains strong with recent trades at capitalization rates between 6.42% and 6.42%. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care.

Income and Expense Review

Debt service coverage ratio was 6.93x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.50% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Average monthly revenue per occupied unit is $4,537, inclusive of base rent and levels of care.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$144,374	$147,561	$155,420	$11,046	7.7%	$1,689.35
5010 Loss to Lease	$25,855	$25,653	$27,317	$1,462	5.7%	$296.92
5020 Vacancy Loss	$43,791	$45,342	$46,106	$2,315	5.3%	$501.15
5030 Concessions	$10,273	$10,998	$11,030	$756	7.4%	$119.89
5040 Bad Debt	$121,704	$125,856	$129,874	$8,171	6.7%	$1,411.68
5050 Late Fees	$47,102	$46,310	$46,739	-$363	-0.8%	$508.03
5060 Utility Reimbursements	$162,992	$167,631	$177,122	$14,130	8.7%	$1,925.24
5070 Parking Income	$105,136	$101,481	$103,879	-$1,257	-1.2%	$1,129.12
5080 Application Fees	$105,666	$108,581	$114,197	$8,531	8.1%	$1,241.27
5090 Pet Rent	$195,274	$186,932	$189,113	-$6,160	-3.2%	$2,055.58
5100 Laundry Income	$23,759	$23,620	$24,281	$522	2.2%	$263.92
5110 Cable/Internet Revenue	$42,317	$39,181	$41,065	-$1,252	-3.0%	$446.36
5120 CAM Reimbursements	$51,640	$51,286	$52,107	$467	0.9%	$566.38
5130 Tax Reimbursements	$145,423	$154,826	$165,279	$19,856	13.7%	$1,796.51
5140 Insurance Reimbursements	$88,807	$82,546	$85,738	-$3,069	-3.5%	$931.94
5150 Percentage Rent	$163,929	$163,456	$168,373	$4,443	2.7%	$1,830.14
5160 Misc. Income	$86,287	$90,768	$95,361	$9,074	10.5%	$1,036.53
5170 Payroll - Management	$38,793	$39,804	$41,950	$3,156	8.1%	$455.97
5180 Payroll - Leasing	$152,888	$141,739	$148,701	-$4,187	-2.7%	$1,616.31
5190 Payroll - Maintenance	$129,414	$137,248	$140,176	$10,762	8.3%	$1,523.65
5200 Payroll Taxes & Benefits	$113,490	$107,491	$112,914	-$576	-0.5%	$1,227.32
5210 Repairs - Plumbing	$215,045	$222,179	$228,156	$13,111	6.1%	$2,479.96
5220 Repairs - HVAC	$153,408	$150,006	$150,174	-$3,234	-2.1%	$1,632.33
5230 Repairs - Electrical	$16,332	$16,428	$16,826	$494	3.0%	$182.89
5240 Repairs - Appliances	$187,749	$198,602	$202,518	$14,770	7.9%	$2,201.29
5250 Painting & Decorating	$192,851	$196,463	$197,759	$4,908	2.5%	$2,149.55
5260 Flooring	$204,911	$214,747	$229,426	$24,515	12.0%	$2,493.76
5270 Make-Ready / Turnover	$72,731	$72,248	$74,691	$1,960	2.7%	$811.86
5280 Landscaping Contract	$51,925	$49,438	$51,411	-$514	-1.0%	$558.81
5290 Snow Removal	$53,694	$52,044	$54,251	$557	1.0%	$589.69
5300 Janitorial	$39,860	$37,356	$39,196	-$664	-1.7%	$426.04
5310 Pest Control	$64,166	$64,490	$65,011	$845	1.3%	$706.65
5320 Trash Removal	$11,696	$10,795	$10,939	-$757	-6.5%	$118.91
5330 Elevator Contract	$96,465	$101,538	$104,808	$8,343	8.6%	$1,139.22
5340 Fire & Life Safety	$203,051	$211,992	$217,179	$14,127	7.0%	$2,360.64
5350 Security	$22,222	$22,226	$22,710	$488	2.2%	$246.85
5360 Electricity - Common	$81,333	$77,400	$81,298	-$35	-0.0%	$883.67
5370 Gas - Common	$87,904	$91,417	$93,801	$5,897	6.7%	$1,019.58
5380 Water & Sewer	$80,177	$76,069	$80,439	$262	0.3%	$874.34
5390 Telephone/Internet	$14,742	$15,850	$16,815	$2,073	14.1%	$182.77
5400 Advertising	$171,661	$178,251	$187,012	$15,351	8.9%	$2,032.73
5410 Resident Events	$195,632	$210,566	$214,979	$19,347	9.9%	$2,336.73
5420 Office Supplies	$43,340	$43,511	$43,872	$532	1.2%	$476.87

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